

APL Inclusion – illiquid Alternatives

Suitable for investors who do not require access to capital for at least 10 years.

Safar Partners – Venture Fund III/IV

Summary

The **Safar Partners Venture Fund** ('the Fund') is a venture capital fund focussing on technology companies developed at the leading universities in the world. Safar invests in three areas being cleantech and advanced materials, AI/IT and robotics, and life sciences. Safar leverages deep connections within MIT, Harvard and the University of Rochester to invest in technology start-up originating there. Safar targets a minimum return multiple of four times on invested capital and net IRR of over 20%. The Fund is expected to have 30 to 35 unique portfolio investments that range from US\$100,000 for series seed all the way to US\$30mn for late-stage venture investments.

APL Fit

The Safar Partners Venture Fund represents a compelling the illiquid, off-SMA, APL. The Fund offers exposure to cutting-edge technological innovations and high-growth sectors. The fund's strategic investments in early-stage technology companies provide opportunities for significant capital appreciation. Additionally, Safar Partners' focus on platform technologies aligns with the objective of diversifying the off-SMA investment portfolio and capitalising on emerging trends in technology and innovation.

The firm's strong ties to MIT and Harvard provide a distinct competitive advantage, offering privileged access to two of the world's most prolific hubs for groundbreaking innovation and entrepreneurial talent. his privileged access provides a distinct competitive advantage, enabling the firm to identify and invest in cutting-edge opportunities ahead of the broader market. Atchison believes this unique positioning allows the Fund to capitalise on breakthrough technologies and high-potential ventures that are often inaccessible to traditional venture capital investors.

Fund Overview

- **Manager:** Safar Partners
- **Fund Inception Date:** Fund I launched in 2018. Safar are currently raising for Fund III which is scheduled to close in May 2025. Fund IV will be available in June 2026.
- **Firmwide Assets Under Management:** US\$1 Billion+ (as at 31/01/2025)
- **Investment Strategy:** Leveraging deep connections with world-class universities, Safar Partners identifies and invests in innovative startups with strong commercial potential.
- **Benchmark:** N/A. The Fund is managed to an internal performance objective of 20% IRR or a return multiple of at least four times the initial investment.

BUSINESS

Safar Partners, established in 2018, is a venture capital firm headquartered in Cambridge, Massachusetts. The firm specialises in seed to growth-stage investments, targeting technology companies emerging primarily out of Massachusetts Institute of Technology ("MIT"), Harvard University ("Harvard"), and the University of Rochester. Safar Partners focuses on platform technologies across sectors including cleantech, advanced materials, artificial intelligence, robotics, and life sciences. The firm is 100% owned by the two founding partners.

Team

The investment team is led by the two co-founders Arunas Chesonis and Nader Motamedy. Safar differentiates itself based on its uniquely strong ties to world-class institutions, Arunas Chesonis was a Member of the MIT Corporation from 2012 to 2022 and is a Life Trustee of the University of Rochester. Additionally, Nader Motamedy has developed strong ties to Harvard University. The Safar team thus has unique ties to first-rate institutions, securing the best deal flow and ensuring access to unparalleled deal sourcing. Furthermore, these connections allow Safar to have extremely strong advisory boards which comprise academic and industry experts who provide their invaluable perspective and expertise on the companies and technologies in Safar's due diligence process. The investment team is considered well-resourced, totalling 19 investment professionals with a high level of experience.

Process

Safar Partners follows a disciplined and structured investment process to ensure objectivity and reliability in decision-making. The investment team rigorously evaluates opportunities using a comprehensive due diligence checklist, leveraging insights from board members and advisory experts. Weekly discussions filter potential investments, with promising opportunities undergoing months of in-depth analysis led by a designated team member. The final decision rests with the Investment Committee, which considers key criteria such as market potential, competitive landscape, financials, and exit strategies. Safar also reserves capital for follow-on investments, applying the same thorough evaluation process as with initial investments.

Post-investment, Safar remains actively involved, often securing board seats and providing strategic guidance to portfolio companies. The firm engages its extensive network to facilitate commercialisation opportunities, connecting companies with investors, advisors, and industry leaders. Regular updates from CEOs inform Safar's ongoing oversight, ensuring alignment with growth objectives. Additionally, Safar's senior advisors and operating partners contribute expertise to support portfolio success. Portfolio construction decisions are made collaboratively by the senior leadership team, with input from associates and advisory boards, reinforcing a comprehensive and informed approach to venture investing.

Safar funds are seed to late-stage venture funds investing primarily in technology companies out of MIT, Harvard, and the University of Rochester. As a result, the geographic focus of the funds is limited to Boston, MA and Rochester, NY areas. In recognition of this Safar invests in platform technologies or innovations that can be applied to a wide variety of markets. Specifically, Safar's active engagement with portfolio companies after each investment encourages the companies to explore multiple geographic and industrial verticals, possibly through the formation of joint ventures to increase the likelihood of success.

Fees and operational considerations

- **Management Fee:** 2.5% on committed capital during the investment period, declining to 1.5% incrementally afterwards
- **Performance Fee:** carried interest, 20% of profit after return of capital.
- **Liquidity:** Illiquid Venture Capital Fund. Suitable only for clients who do not require access to capital for at least ten years.
- **Capacity:** The Fund is hard capped between US\$325,000,000 and US\$350,000,000.
 - Fund III is set to close in April 2025, with Fund IV opening in 2026.
- **Time Frame:** Ten years from the final closing date with a five-year investment period. The GP may extend the fund for an additional two years at their discretion and then may extend for a further two years with the unanimous approval of the LP's.
- **Minimum Investment:** \$5,000,000

Performance

The Fund is still in its early stages and has yet to establish a performance track record. However, Atchison takes confidence in the team's proven expertise, strong industry connections, and privileged access to innovation hubs at Harvard and MIT. Furthermore, the team's alignment with investors is reinforced by the firm's substantial commitment of \$20 million to each fund, demonstrating their conviction in the strategy and long-term vision.